

AMANI INVESTMENT CHAMA

Constitution & Bylaws

Registered under the Co-operative Societies Act, Cap 490 — Kenya

Registration No: CS/2021/04471 | Nairobi, Kenya

Adopted: 1st March 2021 | Last Amended: 15th January 2024

ARTICLE 1 — NAME, REGISTERED OFFICE & OBJECTIVES

1.1 Name. The group shall be known as **Amani Investment Chama** (hereinafter "the Chama").

1.2 Registered Office. The registered office is at Nairobi, Kenya. Meetings may be held at any agreed venue.

1.3 Objectives. The Chama exists to:

- (a) Pool member savings for collective investment in shares, land, and money-market instruments;
- (b) Provide emergency loans to members at preferential rates;
- (c) Build financial literacy and investment discipline among members.

ARTICLE 2 — MEMBERSHIP

2.1 Maximum Members. The Chama shall have a maximum of twelve (12) active members.

2.2 Admission. New members must be proposed by an existing member, seconded by another, and approved by a two-thirds (2/3) majority vote at a general meeting.

2.3 Admission Fee. Every new member shall pay a non-refundable admission fee of **Ksh 2,000** before their first contribution.

2.4 Exit. A member wishing to exit must give three (3) months' written notice. Exit payouts shall be calculated after deducting any outstanding loans and penalties.

2.5 Expulsion. A member may be expelled by a three-quarters (3/4) majority vote for: (a) three consecutive missed contributions, (b) fraudulent conduct, or (c) conduct deemed prejudicial to the Chama.

ARTICLE 3 — CONTRIBUTIONS & SAVINGS

3.1 Monthly Contribution. Each member shall contribute **Ksh 5,000** on or before the **5th day of every month**.

3.2 Payment Method. All contributions must be paid via **M-Pesa Paybill No. 247247**, Account Number being the member's full name as registered.

3.3 Late Payment Penalty. Contributions received between the **6th and the 15th** of the month shall attract a penalty of **Ksh 500**.

3.4 Very Late Payment Penalty. Contributions received after the **15th of the month** shall attract a penalty of **Ksh 1,000**, in addition to the standard contribution.

3.5 Non-Payment. A member who fails to contribute by the **end of the month** shall be recorded as having missed a contribution. Three (3) consecutive missed contributions triggers an automatic expulsion review under Article 2.5.

3.6 Voluntary Top-Up. Members may make additional voluntary contributions at any time. These are recorded separately and earn the same investment returns.

3.7 Annual Review. The contribution amount may be revised annually at the AGM by a simple majority vote, with at least one (1) month's notice to all members.

ARTICLE 4 — LOANS

4.1 Eligibility. A member must have been active for at least **six (6) months** and have no outstanding penalties to apply for a loan.

4.2 Maximum Loan Amount. A member may borrow up to **three (3) times** their total personal savings (contributions + returns), subject to available chama funds.

4.3 Interest Rate. All loans shall attract an interest rate of **10% per annum**, calculated on the reducing balance.

4.4 Repayment Period. Loans must be repaid within **twelve (12) months** of disbursement.

4.5 Guarantors. Every loan application requires two (2) guarantors who are active members in good standing.

4.6 Default. A member who misses two (2) consecutive loan repayments shall be declared in default. The Treasurer shall immediately notify the guarantors, who become jointly liable for the outstanding balance.

4.7 Emergency Loans. Members may apply for emergency loans of up to **Ksh 10,000** repayable within three (3) months at 5% interest. Emergency loans do not require guarantors but require approval by the Chairperson and Treasurer.

ARTICLE 5 — GOVERNANCE & OFFICIALS

5.1 Officials. The Chama shall be governed by the following elected officials:

Position	Responsibilities	Term
Chairperson	Preside over meetings, casting vote in ties, external representation	2 years
Vice-Chairperson	Deputy to Chairperson, oversee member relations	2 years
Secretary	Record minutes, manage correspondence, maintain registers	2 years
Treasurer	Manage funds, maintain accounts, present financial reports	2 years
Investment Officer	Research and present investment proposals	2 years

5.2 Elections. Officials are elected at the Annual General Meeting (AGM) by secret ballot. An official may serve a maximum of two (2) consecutive terms in the same position.

5.3 Removal. An official may be removed by a two-thirds (2/3) majority vote at a special general meeting convened specifically for that purpose.

ARTICLE 6 — MEETINGS

6.1 Monthly Meetings. The Chama shall hold a general meeting on the **last Saturday of every month** at 10:00 AM.

6.2 Quorum. A quorum for any meeting shall be **seven (7) members**, including at least two (2) officials.

6.3 AGM. The Annual General Meeting shall be held each year in January to: (a) receive audited accounts, (b) elect officials if due, (c) set contribution and investment targets.

6.4 Absence. A member who misses **three (3) consecutive meetings** without written apology shall be fined **Ksh 500** per missed meeting from the fourth absence onward.

6.5 Agenda. Meeting agenda shall be circulated by the Secretary at least **48 hours** before the meeting via the official WhatsApp group.

ARTICLE 7 — DISPUTE RESOLUTION

7.1 Internal Resolution. All disputes between members, or between a member and the Chama, shall first be referred to the Chairperson for mediation within **fourteen (14) days** of the dispute arising.

7.2 Committee Hearing. If mediation fails, the matter shall be heard by a dispute committee comprising the Chairperson, Secretary, and one member elected by the disputing parties, within **thirty (30) days**.

7.3 Binding Decision. The committee's decision shall be binding on all parties. The aggrieved party may only appeal to a full general meeting within **seven (7) days**.

7.4 External Arbitration. If the general meeting does not resolve the dispute, it shall be referred to the **Co-operative Societies Tribunal** under the Co-operative Societies Act.

7.5 Common Disputes Procedure. For the following common disputes, the procedure is as stated:

(a) **Late contribution dispute:** Member provides M-Pesa confirmation. Treasurer verifies transaction date on M-Pesa Paybill statement. Penalty applied based on verified date per Article 3.3 or 3.4.

(b) **Loan default dispute:** Treasurer presents repayment schedule and M-Pesa records. Member presents counter-evidence. Committee rules within 7 days.

(c) **Investment loss dispute:** Investment Officer presents original proposal, meeting minutes, and vote record. Losses from approved investments are shared by all members proportionally.

(d) **Expulsion dispute:** Member must be given written notice and right to address a general meeting before expulsion is confirmed.

ARTICLE 8 — FINANCIAL MANAGEMENT

8.1 Bank Account. The Chama shall maintain a bank account in its registered name. All withdrawals above **Ksh 10,000** require signatures of both the Treasurer and the Chairperson.

8.2 Financial Reports. The Treasurer shall present a written financial report at every monthly meeting showing: (a) total funds, (b) outstanding loans, (c) investment portfolio value, (d) pending penalties.

8.3 Audit. Accounts shall be audited annually by an independent auditor appointed by the AGM.

8.4 Investment Policy. No single investment shall exceed **40%** of total chama funds without approval by a three-quarters (3/4) majority.

ARTICLE 9 — CURRENT MEMBER REGISTER

As of January 2024, the registered members of Amani Investment Chama are:

No.	Full Name	Phone	Join Date	Status
1	Grace Wanjiku Kariuki	0712 345 678	Mar 2021	Active
2	David Otieno Ochieng	0723 456 789	Mar 2021	Active
3	Fatuma Hassan Abdi	0734 567 890	Mar 2021	Active
4	Peter Kamau Njoroge	0745 678 901	Mar 2021	Active
5	Mercy Akinyi Odhiambo	0756 789 012	Jun 2021	Active

6	James Mwangi Githinji	0767 890 123	Jun 2021	Active
7	Asha Abdirahman Omar	0778 901 234	Sep 2021	Active
8	Kelvin Cheruiyot Rono	0789 012 345	Sep 2021	Active
9	Beatrice Njeri Muthoni	0790 123 456	Jan 2022	Active
10	Samuel Kimani Waweru	0701 234 567	Jan 2022	Active
11	Lilian Auma Were	0722 345 678	Apr 2022	Active
12	Brian Kipchoge Mutai	0733 456 789	Apr 2022	Active

ARTICLE 10 — M-PESA CONTRIBUTION RECORDS (SAMPLE — Jan 2024)

The following records are extracted from the official Paybill 247247 statement for January 2024:

Member	Transaction Code	Amount (Ksh)	Date	Time	Penalty Due
Grace Wanjiku Kariuki	QKL7823HJP	5,000	03 Jan 2024	09:14	None
David Otieno Ochieng	QKM9934KLQ	5,000	05 Jan 2024	17:52	None
Fatuma Hassan Abdi	QKN1045MNR	5,000	08 Jan 2024	11:30	Ksh 500 (late)
Peter Kamau Njoroge	QKO2156NOS	5,000	04 Jan 2024	14:20	None
Mercy Akinyi Odhiambo	QKP3267OPT	5,000	05 Jan 2024	08:05	None
James Mwangi Githinji	QKQ4378PQU	5,000	17 Jan 2024	20:11	Ksh 1,000 (very late)
Asha Abdirahman Omar	QKR5489QRV	5,000	02 Jan 2024	10:44	None
Kelvin Cheruiyot Rono	QKS6590RSW	5,000	05 Jan 2024	16:33	None
Beatrice Njeri Muthoni	QKT7601STX	5,000	12 Jan 2024	13:17	Ksh 500 (late)
Samuel Kimani Waweru	QKU8712TUY	5,000	01 Jan 2024	07:50	None
Lilian Auma Were	QKV9823UVZ	5,000	05 Jan 2024	15:28	None
Brian Kipchoge Mutai	NOT PAID	0	—	—	Missed — 1st consecutive

ADOPTED AND SIGNED

Grace Wanjiku Kariuki

Chairperson

Date: __/__/2024

David Otieno Ochieng

Treasurer

Date: __/__/2024

Fatuma Hassan Abdi

Secretary

Date: __/__/2024